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Use of Buy Now, Pay Later (BNPL) and Its Impact on Gen Z

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Abstract

Buy Now, Pay Later (BNPL) is a new form of digital credit service which has caught the attention of Generation Z. This current paper seeks to analyse the concept, dimensions, and importance of Buy Now, Pay Later (BNPL) among 50 Gen Z students from the first and second year of BA from Ghaziabad. This study uses a descriptive research method and primary data using a structured questionnaire conducted via Google Forms. The results of this study reveal that the students are aware about BNPL services but 74% of the respondents revealed that they do not use it. A majority 72% of the respondents felt the need for adequate guidance in order to make BNPL responsible and accountable. It is clear from this study that awareness is not enough since the students lack knowledge about its other aspects too. Hence, consumer guidelines, financial awareness, and responsible usage of BNPL services need to be made before using it.

Keywords: *Buy Now, Pay Later (BNPL); Digital Credit Facility; Generation Z; Financial Awareness; Responsible Usage*

Introduction:

In this modern era where digital payment has become part of the lives of all individuals, innovation under it is quite evident. Buy Now, Pay Later (BNPL) enables consumers to purchase the product immediately and pay later for it through a credit system, either by paying in instalments or within a specified period. In this age of globalization, where digitalization has been increasingly used in every sector of society including online shopping, credit cards, and EMI (Equated Monthly Instalments), BNPL as an innovative process has especially been relevant to Generation Z, who are known for being well-acquainted with online shopping and digital payment system.

While offering convenience and financial flexibility, BNPL does entail certain risks. It leads to a lot of questions about privacy issues, credit system, and lack of financial awareness, etc., which need to be considered while using BNPL services. This research paper focuses on BNPL in terms of economic and political considerations, specifically Generation Z. To find the answers regarding BNPL awareness of Generation Z, a survey of 50 Gen Z students of the first and second year of BA in a college of Ghaziabad has been conducted.

Economic Aspect:

Behavioural Economics: Cognitive Friction & The Gen Z "Pain of Paying" Gen Z behaves differently from older cohorts due to their status as digital natives. You can anchor this section in behavioural economic theories: Zero-Friction Consumption: Traditional economic theory relies on the "pain of paying" to regulate consumer demand. For Gen Z, BNPL integrates seamlessly into social commerce platforms (TikTok Shop, Instagram). This removes all transaction friction, accelerating present bias and hyperbolic discounting (valuing immediate gratification over future financial health).

Gamification of Credit: BNPL user interfaces utilize push notifications, streaks, and minimalist designs. Economists view this as a form of choice architecture that reframes debt from a serious financial liability into a casual budgeting tool. Mental Accounting: Gen Z utilizes highly fragmented mental accounting. Instead of viewing a ₹4,000 purchase as a single hit to their monthly budget, they split it into four ₹1,000 payments, categorising it as a minor, manageable expense, which leads to aggregate over-consumption. Household Finance: The "Phantom Debt" & Credit Trajectory for Gen Z, BNPL is frequently their first interaction with the credit ecosystem, introducing unique structural risks. The "Phantom Debt" Phenomenon: Because many BNPL transactions are small and traditionally bypassed credit bureau reporting, they create an invisible layer of leverage. For a Gen Z student or early-career worker, this creates a distorted debt-to-income ratio that

traditional banking models cannot see. Unsecured Credit Spillover: Empirical data shows that when Gen Z consumers experience BNPL stress, it triggers a domino effect. To avoid BNPL late fees, they often trigger bank account overdrafts or take on high-interest credit card debt, accelerating their entry into debt cycles early in life. Subprime Classification Bypass: Gen Z has sparse credit histories ("thin files"). BNPL acts as a shadow lender that grants immediate purchasing power to subprime or unrated younger demographics without standard underwriting checks.

The Shadow Refinancing Spiral: A profound systemic risk is "double-dipping" credit. Micro-empirical studies reveal that a massive volume of consumers charge their interest-free BNPL instalments onto traditional revolving credit cards. This effectively converts a 0% short-term loan into a high-interest (often 20%+) decades-long debt amortization trap, masking true household leverage. Credit Bureau Blind Spots: Because most BNPL transactions bypass hard credit inquiries and traditional reporting systems, they create a systemic data asymmetry. Traditional lenders cannot accurately gauge a borrower's total outstanding debt obligations. Ro-cyclical Vulnerability: BNPL providers rely on cheap wholesale funding. In high-interest-rate environments, their debt financing costs surge while consumer default provisions swell, threatening the sustainability of the securitized BNPL receivables market.

The Refinancing Paradox (Debt Layering): Economists have documented a troubling phenomenon where consumers pay off their interest-free, short-term BNPL balances using revolving credit cards (which carry average interest rates upwards of 20%). This effectively converts zero-interest debt into high-interest, long-term unsecured debt, compounding household financial fragility. Pro-cyclicality: BNPL acts as a pro-cyclical stimulus for domestic consumption during economic expansions. However, during downturns, a sudden spike in the Provision for Debt Impairment can trigger rapid tightening of credit supply, worsening consumer liquidity shocks. The Regulatory Vacuum: Because BNPL often evades traditional credit registry reporting (like traditional credit bureaus), it creates a "hidden leverage" problem. Total consumer debt levels are structurally understated, complicating monetary policy assessments of household debt elasticity.

Political Aspect:

As BNPL becomes increasingly popular among Gen Z, the need for government regulation has also increased. Effective regulation becomes highly necessary because BNPL introduces a relatively new form of short-term credit into the consumer market. The RBI has been regularly working on this new credit system beginning with the “Guidelines on Digital Lending” in 2022, which constituted an important regulatory intervention in India’s digital lending ecosystem (Reserve Bank of India [RBI], 2022). However, these guidelines were subsequently

withdrawn and superseded by the RBI Digital Lending Directions 2025. Since BNPL is relatively a new concept in the credit system, any step taken by the RBI becomes important to understand the concept and for consumer protection.

The 2025 directions provide a framework covering borrower protection, disclosures, repayment, credit worthiness, grievance redressal and cooling-off period that is a consumer right mechanism. During cooling off period, borrowers must be given a clear option to exit a digital loan by paying the principal and proportionate Annual Percentage Rate (APR) without penalty during the prescribed cooling-off period. These guidelines have been introduced in response to concerns including mis selling, data privacy, unfair business conduct, unethical practices and customer grievances as said by RBI (RBI, 2025). Alongside these consumer-protection measures, the prospect of privacy should be kept in mind since BNPL is a digital concept. The landmark 2017 Justice K.S. Puttaswamy (Retd.) v. Union of India judgment recognised the right to privacy as a constitutionally protected right emerging primarily from Article 21 (*Justice K.S. Puttaswamy (Retd.) v. Union of India*, 2017). The RBI's regulatory framework addresses concerns regarding privacy. The 2025 Directions place requirements around data collection and consent, thereby linking digital lending regulation with broader concerns of privacy, individual autonomy and consumer protection (RBI, 2025).

Research Methodology:

The paper research is grounded on the data obtained in a primary survey with a structured questionnaire aimed at finding out the level of awareness, perception, and usage of Buy Now, Pay Later (BNPL) by the members of Generation Z as well as the secondary data that is accessible. With the help of the survey method, the data of 50 students of the first and second years of BA from a college in Ghaziabad has been gathered. There were 10 Multiple Choice Questions in the survey including such issues as awareness of BNPL, its usage, benefits and risks, the understanding of its responsible use and necessity for consumer education. The answers have been processed and analysed with the help of percentages. The study pursues a descriptive methodology and aims to learn how the young consumers use this credit opportunity and how much they know about it.

Survey:

A survey was carried out among 50 students studying first and second years of BA in a college located in Ghaziabad. These respondents were chosen because they constitute a generation of young and digitally aware population that is bound to come across digital financial services such as payments and credits. The survey was distributed through Google Forms, which made it easy for respondents to access and respond to it in an organized manner. Participation was voluntary and the respondents were requested to give their answers honestly based on their current

knowledge and experience with BNPL services. The data collected from the respondents will be used for research and academic purposes only.

There were 10 questions in the questionnaire that were closed-ended multiple choice questions. The questions had been designed in such a way that they could be answered without any prior knowledge of economics and finance. There was a gradual change in the set of questions beginning with questions about the basic knowledge of BNPL, moving on to questions about its uses, benefits, influence, and finally future and responsibility of BNPL.

The following are some dimensions that the survey has considered. First, there is the dimension of awareness where it investigates whether the respondents have heard about BNPL and whether they know what is the basic understanding of it. Secondly, there is the dimension of usage which includes whether the respondents have used a BNPL facility in their own transactions or whether they have encountered BNPL during online purchases. Thirdly, there is the dimension of reasons and benefits from using BNPL which include convenience, flexibility in payment, and management of short-term expanses. In addition to that, this survey tries to see BNPL not only as a new payment method but also the relevancy of this payment method to the young consumers who live in the digital economy. This is because the survey tries to find out the perception of Generation Z about BNPL payment method either as convenient method or as new one to the already existing ones. Therefore, this survey brings together economic and political perspective on the matter.

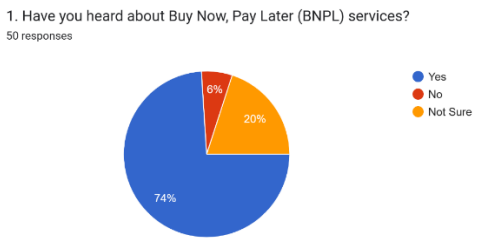
The answers have been organized and analysed using the methods of frequency and percentage analysis. Where necessary, tables and graphs were used to present the data. The results that have been collected during the survey will be used to identify common trends in awareness, adoption, perceived benefits, and purchasing behaviour of the respondents. Yet, it is important to emphasize that the results can be considered valid only for the participants of the survey but cannot be applied to the whole Generation Z. The survey results, however, give valuable primary data on the perception of the young generation about BNPL concept and constitute an important foundation for the further analysis of its economic and regulatory implications.

Findings:

The survey collected responses from 50 respondents belonging to Generation Z, with the objective of understanding their awareness, use, and perception of Buy Now, Pay Later (BNPL) services. The responses indicate a relatively high level of awareness of BNPL among the surveyed group. **37 respondents (74%)** stated that they had heard about BNPL services, while **10 respondents (20%)** were not sure about them and only **3 respondents (6%)** had not heard of BNPL.

Figure 1

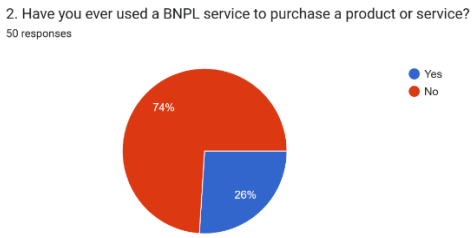
Awareness of BNPL among respondents



As shown in Figure 1, a majority of the respondents (74%) were aware of BNPL services. This indicates that BNPL has gained considerable visibility among Generation Z, that they know about this concept. However, awareness does not necessarily translate into actual usage. Only **13 respondents (26%)** reported having used a BNPL service to purchase a product or service, whereas **37 respondents (74%)** had never used one.

Figure 2

Actual BNPL usage — 26% vs 74%

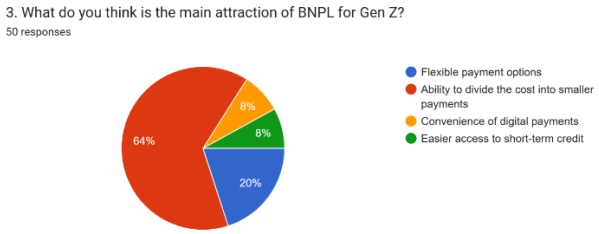


As shown in Figure 2, a majority of the respondents (74%) haven't actually used BNPL services. Thus, while awareness of BNPL was relatively high in the surveyed group, actual adoption remained comparatively limited.

The survey further examined the main attraction and perceived benefits of BNPL among the respondents. The findings show that **32 respondents (64%)** considered the ability to divide the cost of a purchase into smaller payments as the main attraction of BNPL. This was followed by **10 respondents (20%)** who identified flexible payment options as the major attraction, while **4 respondents (8%)** each selected the convenience of digital payments and easier access to short-term credit.

Figure 3

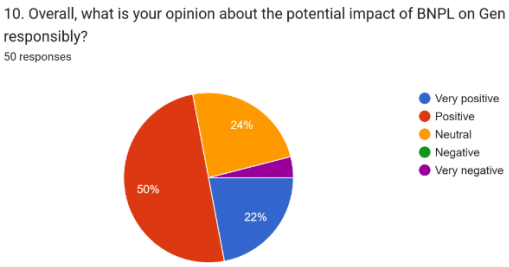
Main attraction of BNPL — 64%, 20%, 8%, 8%



These responses indicate that the major attraction among the Generation Z regarding BNPL is the **payment flexibility and ability to reduce the immediate financial burden of a purchase**. This finding is further supported by the respondents' perception of the benefits of BNPL, with **22 respondents (44%)** considering the ability to purchase necessary things when immediate payment is difficult or during payment shutdown, followed by **18 respondents (36%)** who identified payment flexibility.

Figure 4

Overall perception — 50%, 22%, 24%, 4%



As per figure 4, the overall opinion about the potential impact of BNPL on Gen Z when used responsible remains **22%** that were very positive, **50%** positive, **24%** remains neutral while **4%** includes the negative perception of BNPL. Thus, the survey suggests that respondents primarily perceive BNPL positively as a tool that can provide short-term financial convenience and flexibility rather than simply as a source of additional credit.

Suggestions:

According to the research study's findings, BNPL services must be encouraged to be used in a responsible manner by the Generation Z population. According to the results of the study, most of the Generation Z has not really made use of any BNPL services; thus, the role of the parents becomes crucial here, where they can provide guidance and monitor how these young consumers make use of BNPL services. The parents can help in making Generation Z aware of both the benefits and responsibilities associated with the deferred payment method. On the other hand, increasing awareness regarding BNPL services among Generation Z can ensure their proper utilization. Thus, the providers of BNPL services need to give some guidelines by the government to the consumers before they make the payment through BNPL services. They should be informed about the repayments schedule, applicable charges, late payment penalties, and all other terms and conditions. Moreover, privacy is of utmost importance in BNPL services as these involve the personal and financial information of the consumer. Therefore, data protection is needed to be ensured in BNPL services.

Conclusion:

From the study findings, BNPL offers great potential as a useful and convenient digital payment option for Gen Z. While there is a good level of awareness about the existence of BNPL by the respondents, its use is low. From the results, it is clear that Gen Z perceives BNPL as offering financial convenience in terms of payment flexibility and making it easier to purchase. Being responsible, being financially literate, parental support, clear rules, and adequate privacy protections would go a long way towards ensuring maximum benefits from the use of BNPL. Future studies could look at BNPL in relation to a large and varied sample population and across different ages.

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